

Clark County, Arkansas

Financial and Compliance Report

December 31, 2019

LEGISLATIVE JOINT AUDITING COMMITTEE



CLARK COUNTY, ARKANSAS
TABLE OF CONTENTS
FOR THE YEAR ENDED DECEMBER 31, 2019

Financial and Compliance Report

REGULATORY BASIS FINANCIAL STATEMENTS

	<u>Exhibit</u>
Balance Sheet – Regulatory Basis (Unaudited)	A
Statement of Revenues, Expenditures, and Changes in Fund Balances – Regulatory Basis (Unaudited)	B
Statement of Revenues, Expenditures, and Changes in Fund Balances – Budget and Actual – General and Road Funds – Regulatory Basis (Unaudited)	C

SUPPLEMENTARY INFORMATION

Combining Balance Sheet – Other Funds in the Aggregate – Regulatory Basis (Unaudited)	1
Combining Statement of Revenues, Expenditures, and Changes in Fund Balances – Other Funds in the Aggregate – Regulatory Basis (Unaudited)	2
Notes to Schedules 1 and 2	
Other General Information	
Schedule of Selected Information for the Last Five Years – General Fund - Regulatory Basis (Unaudited)	3-1
Schedule of Selected Information for the Last Five Years – Road Fund - Regulatory Basis (Unaudited)	3-2
Schedule of Selected Information for the Last Five Years – Other Funds in the Aggregate - Regulatory Basis (Unaudited)	3-3

Arkansas

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Roger A. Norman, JD, CPA, CFE, CFF
Legislative Auditor

LEGISLATIVE JOINT AUDITING COMMITTEE ARKANSAS LEGISLATIVE AUDIT

Financial and Compliance Report

Clark County, Arkansas Officials and Quorum Court Members
Legislative Joint Auditing Committee

A priority of Arkansas Legislative Audit is to assist county government officials by promoting sound financial management and accountability of government resources. The Legislative Auditor reports on the fiscal affairs of county governments, as well as compliance with relevant state laws and observance of good business practices to provide accountability for tax dollars expended to support government operations.

We have performed certain limited procedures with respect to regulatory basis financial information and compliance with certain state laws and accepted accounting practices for Clark County, Arkansas, as of and for the year ended December 31, 2019, and have issued our report thereon dated November 4, 2020. Management of the County is responsible for maintaining the financial records and complying with state laws and accepted accounting practices.

The findings contained in this section relate to the following officials who held office during 2019:

County Judge: Troy Tucker
Treasurer: Karen Arnold
Sheriff and Tax Collector: Jason Watson
County Clerk: Rhonda Cole
Circuit Clerk: Brian Daniel
Assessor: Lanna Clark
County Librarian: Ashley Graves
District Court Clerk: Staci Huber

We evaluated the County's compliance with certain state laws concerning general accounting, budgeting, purchasing, and investing and depositing of public funds.

Noncompliance with state law and accepted accounting practices was noted in the **Sheriff's** office.

Sheriff

The Commissary account ending bank balance was not properly reconciled to the ending book balance, and the ending book balance was incorrect by \$8,712, in noncompliance with Ark. Code Ann. §§ 14-25-107, -112. In addition, bank reconciliations were not approved by someone other than the person preparing the reconciliation. A similar finding was noted for the previous six reports dating back to 2013.

Prenumbered checks were not used for drug enforcement fund disbursements to designated officer for cash on hand, in noncompliance with Ark. Code Ann. §§ 14-21-201 – 204. A similar finding was noted in the previous five reports dating back to 2014.

This report is intended solely for the information and use of the Legislative Joint Auditing Committee, local County government, state executive and oversight management, and other parties as required by Arkansas Code, and is not intended to be and should not be used by anyone other than these specified parties. However, pursuant to Ark. Code Ann. § 10-4-417, all reports presented to the Legislative Joint Auditing Committee are matters of public record and distribution is not limited.

ARKANSAS LEGISLATIVE AUDIT

A handwritten signature in cursive script that reads "Roger A. Norman".

Roger A. Norman, JD, CPA, CFE, CFF
Legislative Auditor

Little Rock, Arkansas
November 4, 2020
LOCO01019

CLARK COUNTY, ARKANSAS
BALANCE SHEET - REGULATORY BASIS
DECEMBER 31, 2019
(UNAUDITED)

Exhibit A

	General	Road	Other Funds in the Aggregate
ASSETS			
Cash and cash equivalents	\$ 3,088,974	\$ 3,943,645	\$ 4,920,068
Accounts receivable	475,508	48,393	154,595
	<u>3,564,482</u>	<u>3,992,038</u>	<u>5,074,663</u>
TOTAL ASSETS	<u>\$ 3,564,482</u>	<u>\$ 3,992,038</u>	<u>\$ 5,074,663</u>
LIABILITIES AND FUND BALANCES			
Liabilities:			
Accounts payable	\$ 92,521	\$ 88,638	\$ 101,712
Settlements pending			1,246,609
Total Liabilities	<u>92,521</u>	<u>88,638</u>	<u>1,348,321</u>
Fund Balances:			
Restricted	835	3,903,400	3,367,860
Committed	274,825		295,171
Assigned	1,022,201		63,311
Unassigned	2,174,100		
Total Fund Balances	<u>3,471,961</u>	<u>3,903,400</u>	<u>3,726,342</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 3,564,482</u>	<u>\$ 3,992,038</u>	<u>\$ 5,074,663</u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2019
(UNAUDITED)

Exhibit B

	General	Road	Other Funds in the Aggregate
REVENUES			
State aid	\$ 617,267	\$ 1,713,149	\$ 129,294
Federal aid	141,384	13,962	
Property taxes	981,807	218,481	531,215
Sales taxes	1,635,642	1,478,369	1,604,188
Fines, forfeitures, and costs	472,114		171,356
Interest	64,385	102,855	78,720
Officers' fees	49,085		128,094
Sanitation fees	553,908		
911 surcharges			258,705
Prisoner care	162,459		3,934
Phone commissions and commissary			22,366
Donations			5,253
Treasurer's commission	139,023		23,116
Collector's commission	182,603		58,053
Taxes apportioned - Assessor's salary and expense	398,032		
Other	312,598	75,543	56,830
TOTAL REVENUES	5,710,307	3,602,359	3,071,124
Less: Treasurer's commission	60,694	50,278	16,972
NET REVENUES	5,649,613	3,552,081	3,054,152
EXPENDITURES			
Current:			
General government	1,674,315		205,040
Law enforcement	2,994,256		561,492
Highways and streets		4,016,799	
Public safety	56,958		261,071
Sanitation	682,930		
Health	63,736		
Recreation and culture	12,750		302,165
Social services	101,947		
Total Current	5,586,892	4,016,799	1,329,768
Debt Service:			
Lease principal	58,790		
Lease interest	7,402		
TOTAL EXPENDITURES	5,653,084	4,016,799	1,329,768

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2019
(UNAUDITED)

Exhibit B

	General	Road	Other Funds in the Aggregate
EXCESS OF REVENUES OVER (UNDER)			
EXPENDITURES	<u>\$ (3,471)</u>	<u>\$ (464,718)</u>	<u>\$ 1,724,384</u>
OTHER FINANCING SOURCES (USES)			
Transfers in	20,000		178,922
Transfers out	(178,922)		(20,000)
Sales taxes remitted to Economic Development Corporation			<u>(1,710,309)</u>
TOTAL OTHER FINANCING SOURCES (USES)	<u>(158,922)</u>		<u>(1,551,387)</u>
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER)			
EXPENDITURES AND OTHER USES	(162,393)	(464,718)	172,997
FUND BALANCES - JANUARY 1,	<u>3,634,354</u>	<u>4,368,118</u>	<u>3,553,345</u>
FUND BALANCES - DECEMBER 31	<u><u>\$ 3,471,961</u></u>	<u><u>\$ 3,903,400</u></u>	<u><u>\$ 3,726,342</u></u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
BUDGET AND ACTUAL - GENERAL AND ROAD FUNDS - REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2019
(UNAUDITED)

Exhibit C

	General			Road		
	Budget	Actual	Variance Favorable (Unfavorable)	Budget	Actual	Variance Favorable (Unfavorable)
REVENUES						
State aid	\$ 602,759	\$ 617,267	\$ 14,508	\$ 1,434,231	\$ 1,713,149	\$ 278,918
Federal aid	62,500	141,384	78,884	13,500	13,962	462
Property taxes	873,400	981,807	108,407	174,015	218,481	44,466
Sales taxes	1,605,000	1,635,642	30,642	1,260,000	1,478,369	218,369
Fines, forfeitures, and costs	323,000	472,114	149,114			
Interest	14,700	64,385	49,685	22,950	102,855	79,905
Officers' fees	52,600	49,085	(3,515)			
Sanitation fees	375,000	553,908	178,908			
Prisoner care	90,500	162,459	71,959			
Treasurer's commission	130,000	139,023	9,023			
Collector's commission	160,000	182,603	22,603			
Taxes apportioned - Assessor's salary and expense	250,000	398,032	148,032			
Other	337,863	312,598	(25,265)	62,200	75,543	13,343
TOTAL REVENUES	4,877,322	5,710,307	832,985	2,966,896	3,602,359	635,463
Less: Treasurer's commission		60,694	(60,694)		50,278	(50,278)
NET REVENUES	4,877,322	5,649,613	772,291	2,966,896	3,552,081	585,185
EXPENDITURES						
Current:						
General government	1,882,165	1,674,315	207,850			
Law enforcement	3,205,190	2,994,256	210,934			
Highways and streets				4,946,817	4,016,799	930,018
Public safety	77,730	56,958	20,772			
Sanitation	958,788	682,930	275,858			
Health	85,425	63,736	21,689			
Recreation and culture	14,750	12,750	2,000			
Social services	111,384	101,947	9,437			
Total Current	6,335,432	5,586,892	748,540	4,946,817	4,016,799	930,018
Debt Service:						
Lease principal		58,790	(58,790)			
Lease interest		7,402	(7,402)			
TOTAL EXPENDITURES	6,335,432	5,653,084	682,348	4,946,817	4,016,799	930,018

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
BUDGET AND ACTUAL - GENERAL AND ROAD FUNDS - REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2019
(UNAUDITED)

Exhibit C

	General			Road		
	Budget	Actual	Variance Favorable (Unfavorable)	Budget	Actual	Variance Favorable (Unfavorable)
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	\$ (1,458,110)	\$ (3,471)	\$ 1,454,639	\$ (1,979,921)	\$ (464,718)	\$ 1,515,203
OTHER FINANCING SOURCES (USES)						
Transfers in	47,624	20,000	(27,624)			
Transfers out	(10,000)	(178,922)	(168,922)			
TOTAL OTHER FINANCING SOURCES (USES)	37,624	(158,922)	(196,546)			
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(1,420,486)	(162,393)	1,258,093	(1,979,921)	(464,718)	1,515,203
FUND BALANCES - JANUARY 1,	1,750,000	3,634,354	1,884,354	3,798,000	4,368,118	570,118
FUND BALANCES - DECEMBER 31	\$ 329,514	\$ 3,471,961	\$ 3,142,447	\$ 1,818,079	\$ 3,903,400	\$ 2,085,321

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2019
 (UNAUDITED)

Schedule 1

	SPECIAL REVENUE FUNDS							
	Various Fire Departments	Treasurer's Automation	Collector's Automation	Circuit Court Automation	District Court Automation	Assessor's Amendment no.79	County Clerk's Cost	County Recorder's Cost
ASSETS								
Cash and cash equivalents		\$ 45,961	\$ 381,958	\$ 9,532	\$ 57,191	\$ 47,706	\$ 11,609	\$ 116,783
Accounts receivable	\$ 204	2,263	58,111	268	679	7	965	12,725
TOTAL ASSETS	\$ 204	\$ 48,224	\$ 440,069	\$ 9,800	\$ 57,870	\$ 47,713	\$ 12,574	\$ 129,508
LIABILITIES AND FUND BALANCES								
Liabilities:								
Accounts payable			\$ 840		\$ 586			\$ 5,250
Settlements pending								
Total Liabilities			840		586			5,250
Fund Balances:								
Restricted	\$ 204	\$ 48,224	439,229	\$ 9,800	57,284	\$ 47,713	\$ 12,574	124,258
Committed								
Assigned								
Total Fund Balances	204	48,224	439,229	9,800	57,284	47,713	12,574	124,258
TOTAL LIABILITIES AND FUND BALANCES	\$ 204	\$ 48,224	\$ 440,069	\$ 9,800	\$ 57,870	\$ 47,713	\$ 12,574	\$ 129,508

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2019
 (UNAUDITED)

Schedule 1

	SPECIAL REVENUE FUNDS							
	County Public Library	Support Collection Costs	Breathalyzer	Jail Operation and Maintenance Fee	Boating Safety	CMRS 911 Board (Commercial Mobile Radio Service)	Victim/Witness	Public Defender
ASSETS								
Cash and cash equivalents	\$ 521,083	\$ 23,635	\$ 8,040	\$ 120,288	\$ 11,568	\$ 1,251,359	\$ 38,484	\$ 349,708
Accounts receivable	10,776	16	83	623	14	41,779	3,092	1,903
TOTAL ASSETS	\$ 531,859	\$ 23,651	\$ 8,123	\$ 120,911	\$ 11,582	\$ 1,293,138	\$ 41,576	\$ 351,611
LIABILITIES AND FUND BALANCES								
Liabilities:								
Accounts payable	\$ 6,316	\$ 579	\$ 270	\$ 115	\$ 687	\$ 10,503		\$ 231
Settlements pending								
Total Liabilities	6,316	579	270	115	687	10,503		231
Fund Balances:								
Restricted	501,198	23,072	7,853	86,830	10,895	1,282,635	\$ 41,576	351,380
Committed								
Assigned	24,345			33,966				
Total Fund Balances	525,543	23,072	7,853	120,796	10,895	1,282,635	41,576	351,380
TOTAL LIABILITIES AND FUND BALANCES	\$ 531,859	\$ 23,651	\$ 8,123	\$ 120,911	\$ 11,582	\$ 1,293,138	\$ 41,576	\$ 351,611

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2019
 (UNAUDITED)

Schedule 1

	SPECIAL REVENUE FUNDS							
	Drug Court	Public Safety	Juvenile Division	Voting System Grant	Circuit Clerk Commissioner's Fee	Assessor's Late Fee	Drug Enforcement	Clark County Marina
ASSETS								
Cash and cash equivalents	\$ 6,436	\$ 1,657	\$ 2,359	\$ 12	\$ 5,602	\$ 2,281	\$ 6,701	\$ 53,026
Accounts receivable	127	2	3		183	61		2,544
TOTAL ASSETS	<u>\$ 6,563</u>	<u>\$ 1,659</u>	<u>\$ 2,362</u>	<u>\$ 12</u>	<u>\$ 5,785</u>	<u>\$ 2,342</u>	<u>\$ 6,701</u>	<u>\$ 55,570</u>
LIABILITIES AND FUND BALANCES								
Liabilities:								
Accounts payable	\$ 395							
Settlements pending								
Total Liabilities	<u>395</u>							
Fund Balances:								
Restricted	6,168	\$ 1,659	\$ 2,362	\$ 12	\$ 5,785	\$ 2,342	\$ 6,701	\$ 55,570
Committed								
Assigned								
Total Fund Balances	<u>6,168</u>	<u>1,659</u>	<u>2,362</u>	<u>12</u>	<u>5,785</u>	<u>2,342</u>	<u>6,701</u>	<u>55,570</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 6,563</u>	<u>\$ 1,659</u>	<u>\$ 2,362</u>	<u>\$ 12</u>	<u>\$ 5,785</u>	<u>\$ 2,342</u>	<u>\$ 6,701</u>	<u>\$ 55,570</u>

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2019
 (UNAUDITED)

Schedule 1

	SPECIAL REVENUE FUNDS					CAPITAL PROJECTS FUND
	Jail Maintenance	Office of Emergency Services	Special Grant	Iron Mountain Trail System	Communication Facility and Equipment	Jail Construction
ASSETS						
Cash and cash equivalents	\$ 78,205	\$ 50,785		\$ 167,520	\$ 24,231	\$ 279,739
Accounts receivable	10,849		\$ 7,318			
TOTAL ASSETS	\$ 89,054	\$ 50,785	\$ 7,318	\$ 167,520	\$ 24,231	\$ 279,739
LIABILITIES AND FUND BALANCES						
Liabilities:						
Accounts payable	\$ 68,622		\$ 7,318			
Settlements pending						
Total Liabilities	68,622		7,318			
Fund Balances:						
Restricted		\$ 50,785		\$ 167,520	\$ 24,231	
Committed	15,432					\$ 279,739
Assigned	5,000					
Total Fund Balances	20,432	50,785		167,520	24,231	279,739
TOTAL LIABILITIES AND FUND BALANCES	\$ 89,054	\$ 50,785	\$ 7,318	\$ 167,520	\$ 24,231	\$ 279,739

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2019
 (UNAUDITED)

Schedule 1

	CUSTODIAL FUNDS							
	Treasurer's Accounts	County Judge's Accounts	Collector's Accounts	Sheriff's Accounts	County Clerk's Accounts	Circuit Clerk's Accounts	District Court Accounts	Totals
ASSETS								
Cash and cash equivalents	\$ 806,909	\$ 43,328	\$ 136,719	\$ 57,658	\$ 126,450	\$ 40,886	\$ 34,659	\$ 4,920,068
Accounts receivable								154,595
TOTAL ASSETS	\$ 806,909	\$ 43,328	\$ 136,719	\$ 57,658	\$ 126,450	\$ 40,886	\$ 34,659	\$ 5,074,663
LIABILITIES AND FUND BALANCES								
Liabilities:								
Accounts payable								\$ 101,712
Settlements pending	\$ 806,909	\$ 43,328	\$ 136,719	\$ 57,658	\$ 126,450	\$ 40,886	\$ 34,659	1,246,609
Total Liabilities	806,909	43,328	136,719	57,658	126,450	40,886	34,659	1,348,321
Fund Balances:								
Restricted								3,367,860
Committed								295,171
Assigned								63,311
Total Fund Balances								3,726,342
TOTAL LIABILITIES AND FUND BALANCES	\$ 806,909	\$ 43,328	\$ 136,719	\$ 57,658	\$ 126,450	\$ 40,886	\$ 34,659	\$ 5,074,663

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2019
 (UNAUDITED)

Schedule 2

	SPECIAL REVENUE FUNDS							
	Various Fire Departments	Treasurer's Automation	Collector's Automation	Circuit Court Automation	District Court Automation	Assessor's Amendment no.79	County Clerk's Cost	County Recorder's Cost
REVENUES								
State aid						\$ 7,723		
Property taxes								
Sales taxes	\$ 31,455							
Fines, forfeitures, and costs					\$ 10,709			
Interest		\$ 1,089	\$ 9,877	\$ 201	1,367	1,176	\$ 179	\$ 2,582
Officers' fees				4,003			11,483	105,881
911 surcharges								
Prisoner care								
Phone commissions and commissary								
Donations								
Treasurer's commission		23,116						
Collector's commission			58,053					
Other	204	244						11,953
TOTAL REVENUES	31,659	24,449	67,930	4,204	12,076	8,899	11,662	120,416
Less: Treasurer's commission	684	15	139	59	170	17	160	1,633
NET REVENUES	30,975	24,434	67,791	4,145	11,906	8,882	11,502	118,783
EXPENDITURES								
Current:								
General government		26,304	61,310			1,436	13,360	98,389
Law enforcement				981	8,830			
Public safety	33,783							
Recreation and culture								
TOTAL EXPENDITURES	33,783	26,304	61,310	981	8,830	1,436	13,360	98,389
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	(2,808)	(1,870)	6,481	3,164	3,076	7,446	(1,858)	20,394
OTHER FINANCING SOURCES (USES)								
Transfers in								
Transfers out								
Sales taxes remitted to Economic Development Corporation								
TOTAL OTHER FINANCING SOURCES (USES)								
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(2,808)	(1,870)	6,481	3,164	3,076	7,446	(1,858)	20,394
FUND BALANCES - JANUARY 1	3,012	50,094	432,748	6,636	54,208	40,267	14,432	103,864
FUND BALANCES - DECEMBER 31	\$ 204	\$ 48,224	\$ 439,229	\$ 9,800	\$ 57,284	\$ 47,713	\$ 12,574	\$ 124,258

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2019
 (UNAUDITED)

Schedule 2

	SPECIAL REVENUE FUNDS							
	County Public Library	Support Collection Costs	Breathalyzer	Jail Operation and Maintenance Fee	Boating Safety	CMRS 911 Board (Commercial Mobile Radio Service)	Victim/Witness	Public Defender
REVENUES								
State aid	\$ 81,487				\$ 2,043			\$ 2,015
Property taxes	261,260							
Sales taxes								
Fines, forfeitures, and costs			\$ 1,348	\$ 75,131			\$ 49,425	30,249
Interest	10,501	\$ 625	213	776	305	\$ 30,428	926	8,276
Officers' fees		2,018						
911 surcharges						258,705		
Prisoner care				3,934				
Phone commissions and commissary								
Donations	5,253							
Treasurer's commission								
Collector's commission								
Other	17,753					194	941	44
TOTAL REVENUES	376,254	2,643	1,561	79,841	2,348	289,327	51,292	40,584
Less: Treasurer's commission	4,128	37	24	1,169	33	2,905	721	562
NET REVENUES	372,126	2,606	1,537	78,672	2,315	286,422	50,571	40,022
EXPENDITURES								
Current:								
General government		3,730						
Law enforcement			2,851	150,970	3,719		50,757	21,055
Public safety						218,974		
Recreation and culture	282,052							
TOTAL EXPENDITURES	282,052	3,730	2,851	150,970	3,719	218,974	50,757	21,055
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	90,074	(1,124)	(1,314)	(72,298)	(1,404)	67,448	(186)	18,967
OTHER FINANCING SOURCES (USES)								
Transfers in								
Transfers out								
Sales taxes remitted to Economic Development Corporation								
TOTAL OTHER FINANCING SOURCES (USES)								
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	90,074	(1,124)	(1,314)	(72,298)	(1,404)	67,448	(186)	18,967
FUND BALANCES - JANUARY 1	435,469	24,196	9,167	193,094	12,299	1,215,187	41,762	332,413
FUND BALANCES - DECEMBER 31	\$ 525,543	\$ 23,072	\$ 7,853	\$ 120,796	\$ 10,895	\$ 1,282,635	\$ 41,576	\$ 351,380

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2019
 (UNAUDITED)

Schedule 2

	SPECIAL REVENUE FUNDS							
	Drug Court	Public Safety	Juvenile Division	Voting System Grant	Circuit Clerk Commissioner's Fee	Assessor's Late Fee	Drug Enforcement	Clark County Marina
REVENUES								
State aid								
Property taxes						\$ 887		
Sales taxes								
Fines, forfeitures, and costs	\$ 4,200	\$ 294						
Interest	146	36	\$ 53		\$ 142	44		\$ 1,344
Officers' fees			460		912			
911 surcharges								
Prisoner care								
Phone commissions and commissary								
Donations								
Treasurer's commission								
Collector's commission								
Other								21,861
TOTAL REVENUES	4,346	330	513		1,054	931		23,205
Less: Treasurer's commission	63	5	6		14			348
NET REVENUES	4,283	325	507		1,040	931		22,857
EXPENDITURES								
Current:								
General government					511			
Law enforcement	3,415						\$ 4,006	
Public safety								
Recreation and culture								20,113
TOTAL EXPENDITURES	3,415				511		4,006	20,113
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	868	325	507		529	931	(4,006)	2,744
OTHER FINANCING SOURCES (USES)								
Transfers in							5,000	1,402
Transfers out								
Sales taxes remitted to Economic Development Corporation								
TOTAL OTHER FINANCING SOURCES (USES)							5,000	1,402
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	868	325	507		529	931	994	4,146
FUND BALANCES - JANUARY 1	5,300	1,334	1,855	\$ 12	5,256	1,411	5,707	51,424
FUND BALANCES - DECEMBER 31	\$ 6,168	\$ 1,659	\$ 2,362	\$ 12	\$ 5,785	\$ 2,342	\$ 6,701	\$ 55,570

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2019
 (UNAUDITED)

Schedule 2

	SPECIAL REVENUE FUNDS						CAPITAL PROJECTS FUND	
	Jail Maintenance	Economic Development Corporation of Clark County (EDCCC)	Office of Emergency Services	Special Grant	Iron Mountain Trail System	Communicatio n Facility and Equipment	Jail Construction	Totals
REVENUES								
State aid	\$ 28,708			\$ 7,318				\$ 129,294
Property taxes	269,068							531,215
Sales taxes		\$ 1,572,733						1,604,188
Fines, forfeitures, and costs								171,356
Interest	568		\$ 1,226			\$ 674	\$ 5,966	78,720
Officers' fees						3,337		128,094
911 surcharges								258,705
Prisoner care								3,934
Phone commissions and commissary						22,366		22,366
Donations								5,253
Treasurer's commission								23,116
Collector's commission								58,053
Other	1		1,000			2,635		56,830
TOTAL REVENUES	298,345	1,572,733	2,226	7,318		29,012	5,966	3,071,124
Less: Treasurer's commission	4,080							16,972
NET REVENUES	294,265	1,572,733	2,226	7,318		29,012	5,966	3,054,152
EXPENDITURES								
Current:								
General government								205,040
Law enforcement	285,798					17,944	11,166	561,492
Public safety			996	7,318				261,071
Recreation and culture								302,165
TOTAL EXPENDITURES	285,798		996	7,318		17,944	11,166	1,329,768
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	8,467	1,572,733	1,230			11,068	(5,200)	1,724,384
OTHER FINANCING SOURCES (USES)								
Transfers in	5,000				\$ 167,520			178,922
Transfers out						(20,000)		(20,000)
Sales taxes remitted to Economic Development Corporation		(1,710,309)						(1,710,309)
TOTAL OTHER FINANCING SOURCES (USES)	5,000	(1,710,309)			167,520	(20,000)		(1,551,387)
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	13,467	(137,576)	1,230		167,520	(8,932)	(5,200)	172,997
FUND BALANCES - JANUARY 1	6,965	137,576	49,555			33,163	284,939	3,553,345
FUND BALANCES - DECEMBER 31	\$ 20,432	\$ 0	\$ 50,785	\$ 0	\$ 167,520	\$ 24,231	\$ 279,739	\$ 3,726,342

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2019

The following funds and descriptions represent all funds reported as other funds in the aggregate.

<u>Fund Name</u>	<u>Fund Description</u>
Various Fire Departments	Clark County Ordinance no. 2007-12 (September 11, 2007) established fund to receive 1% of the proceeds from the 1% county wide sales tax through a special election and to distribute the funds equally among the rural fire departments of Clark County.
Treasurer's Automation	Ark. Code Ann. § 21-6-302 established fund to receive up to 10% of Treasurer's gross commissions to operate the Treasurer's office and to purchase, maintain, and operate an automated accounting and record keeping system.
Collector's Automation	Ark. Code Ann. § 21-6-305 established fund to receive up to 10% of Collector's gross commissions to operate the Collector's office and to purchase, maintain, and operate an automated record keeping system.
Circuit Court Automation	Ark. Code Ann. § 16-13-704 established fund to receive Circuit Court installment fees to be used for Circuit Court-related technology and to defray the cost of fine collection.
District Court Automation	Ark. Code Ann. § 16-13-704 established fund to receive District Court installment fees to be used solely for District Court-related technology.
Assessor's Amendment no.79	Ark. Code Ann. § 26-26-310 provides that 1% of the County's share of surplus funds from the Property Tax Relief Trust Fund be allocated to county assessors for the costs of administering Ark. Const. amend. 79.
County Clerk's Cost	Ark. Code Ann. §§ 21-6-413, 16-20-407 established fund to receive at least 35% of fees collected by county clerks to be used to purchase, maintain, and operate an automated records system, and to account for a \$2 marriage license fee to be used for operation of the County Clerk's office.
County Recorder's Cost	Ark. Code Ann. § 21-6-306 established fund to receive at least 25% of the fees collected by circuit clerks to be used to purchase, maintain, and operate automated records system.
County Public Library	Ark. Code Ann. § 13-2-404 established fund to account for property tax millage levied by the Quorum Court for the support, operation, and maintenance of the public library.
Support Collection Costs	Ark. Code Ann. § 9-10-109 established fund to receive fees to offset administrative costs in the Clerk's office.
Breathalyzer	Ark. Code Ann. § 16-10-307 established the County Administration of Justice Fund which continued to finance this fund used for the acquisition and operation of intoxication detection equipment.
Jail Operation and Maintenance Fee	Ark. Code Ann. § 12-41-505 established fund to receive a \$20 booking and administration fee assessed on persons convicted of a felony or Class A misdemeanor to be used exclusively for the maintenance, operation, and capital expenditures of a county jail or regional detention facility. Clark County Ordinance no. 2009-2 (June 9, 2009) (pursuant to Ark. Code Ann. § 16-17-129) levies an additional fine, not to exceed \$20. Funds shall be used exclusively to defray the cost of incarcerating county prisoners: construction, maintenance, and operation of the county jail; purchase and maintenance of jail equipment; and training, salaries, and certificate pay for jailers and deputy sheriffs.

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2019

The following funds and descriptions represent all funds reported as other funds in the aggregate.

<u>Fund Name</u>	<u>Fund Description</u>
Boating Safety	Ark. Code Ann. § 27-101-111 established fund to receive fees to be used for operating a patrol on the waterways within a county or for emergency rescue services if the county has not established a patrol.
CMRS 911 Board (Commercial Mobile Radio Service)	Ark. Code Ann. § 12-10-318 established fund to receive fees collected by commercial mobile radio service providers for 911 emergency services.
Victim/Witness	Ark. Code Ann. § 16-21-151 established fund to receive District Court costs levied to be used by Prosecuting Attorney for operating victim/witness program.
Public Defender	Ark. Code Ann. § 16-10-307 established the County Administration of Justice Fund which continued to finance this fund used for defense of indigents. Ark. Code Ann. § 17-19-301 authorized a bail bond fee of \$20 to be collected, which shall all be remitted to the Arkansas Public Defender Commission. Three dollars of each fee is remitted back to the county quarterly to be used to defray the operating expenses of the public defender office.
Drug Court	Ark. Code Ann. § 16-98-304 established fund to receive program user fees set by Drug Court Judges to be used for the benefit and administration of the Drug Court program.
Public Safety	Ark. Code Ann. § 27-34-108 established fund to receive 25% of the District Court fines collected for violations of the Child Passenger Protection Act to be used solely for promotion of public safety.
Juvenile Division	Ark. Code Ann. §§ 16-13-326, 9-27-367 established fund to receive juvenile fees, court costs, and fines to provide services and supplies to juveniles at the discretion of the Juvenile Division of Circuit Court.
Voting System Grant	Ark. Code Ann. § 19-5-1247 and Clark County Ordinance no. 2013-5 (August 13, 2013) established fund to receive grants from the County Voting System Grant Fund to purchase voting system equipment, programming and maintenance.
Circuit Clerk Commissioner's Fee	Ark. Code Ann. § 21-6-412 established fund to receive fee awarded, when appointed as Commissioner, for a sale of real or personal property under judicial decree. The funds are to be used to offset administrative costs associated with the performance of the Commissioner's duties and for general operations expenses of the office of Circuit Clerk.
Assessor's Late Fee	Ark. Code Ann. § 26-26-201 established fund to receive additional fifty cents for each delinquent list and utilized by the county assessor to help pay for the expense of assessing property.
Drug Enforcement	Ark. Code Ann. § 14-21-201 established fund for direct expenses associated with the investigation of the criminal drug laws. Source of all funds shall be appropriated by the quorum court.
Clark County Marina	Clark County Ordinance no. 2007-12 (September 11, 2007) established fund to receive a percentage of revenues from the sub-lease of property on DeGray Lake to be used for continued development of the public use areas on DeGray Lake as required by the Army Corp of Engineers.

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2019

The following funds and descriptions represent all funds reported as other funds in the aggregate.

<u>Fund Name</u>	<u>Fund Description</u>
Jail Maintenance	Clark County Ordinance no. 2009-6 (September 14, 2009) established fund to receive revenue collections from general purpose property tax. Expenditures are limited to maintenance of the jail.
Economic Development Corporation of Clark County (EDCCC)	Established to receive and remit a one-half cent sales and use tax to EDCCC to be used solely for economic development. The sales tax was approved by voters on June 12, 2007, for a period of seven years, and subsequently, on March 11, 2014, for an additional seven year period.
Office of Emergency Services	Established to receive federal and state aid to be used for occurrence of a major emergency or disaster.
Special Grant	Clark County Ordinance no. 2019-8 (June 10, 2019) established fund to receive and disburse miscellaneous grant funds.
Iron Mountain Trail System	Clark County Ordinance no. 2019-1 (January 14, 2019) established fund to receive grants for phase 4 of the Iron Mountain Trail System to be used for the expansion of the Iron Mountain Trail System.
Communication Facility and Equipment	Ark. Code Ann. §§ 21-6-307, 12-41-105 established fund to receive 25% of sheriff's fees collected and phone commission funds to be used for communications equipment and repair and to train operations staff.
Jail Construction	Clark County Ordinance no. 2005-01 (February 15, 2005) established fund with revenues from the sale of General Revenue promissory notes to be used for the expansion of current jail facilities or construction of a new jail.

Treasurer's accounts consist primarily of property taxes, treasurer's commission, collector's commission, and interest not distributed to the appropriate agencies.

County Judge's account consists of sanitation fees collected but not yet settled with the Treasurer.

Collector's accounts consist primarily of delinquent taxes not yet distributed to the various taxing units.

Sheriff's accounts consist primarily of fees settlement, bond, evidence, and inmate trust money.

County Clerk's accounts consist primarily of fee money to be settled with the treasurer and trust money awaiting disposition by the court.

Circuit Clerk's accounts consist of trust money and settlements due to the treasurer.

District Court accounts consist primarily of fines and costs not yet distributed to the county and/or state.

CLARK COUNTY, ARKANSAS
OTHER GENERAL INFORMATION
DECEMBER 31, 2019
(UNAUDITED)

A. Basis of Presentation - Regulatory

The financial statements are presented in accordance with the regulatory basis of presentation as prescribed or permitted by Ark. Code Ann. § 10-4-412. The law requires that the financial statements be presented on a fund basis with, as a minimum, the general fund and road fund presented separately with all other funds included in the financial statements presented in the aggregate. This law also stipulates that the financial statements consist of a balance sheet; a statement of revenues, expenditures, and changes in fund balances; a comparison of the final adopted budget to actual expenditures for the general and road funds; notes to financial statements; and a supplemental schedule of capital assets.

The regulatory basis of presentation is not in accordance with generally accepted accounting principles (GAAP). GAAP require that basic financial statements present government-wide and fund financial statements. Additionally, GAAP require the following major concepts: Management's Discussion and Analysis, separate financial statements for fiduciary fund types and other requirements for fiduciary fund types, specific procedures for the identification of major governmental funds, and applicable note disclosures. The regulatory basis of presentation does not require government-wide financial statements or the previously identified concepts.

A fund is defined as a fiscal and accounting entity with a self-balancing set of accounts recording cash and other financial resources, together with related liabilities and residual balances, and changes therein, which are segregated for purposes of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations.

The following types of funds are recognized in the accompanying regulatory basis financial statements.

General Fund - The General Fund is used to account for and report all financial resources not accounted for and reported in another fund.

Road Fund - The Road Fund (Special Revenue Fund) is used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specified purposes other than debt service or capital projects. The Road Fund accounts for and reports proceeds of state highway turnback, property taxes, and sales taxes that are restricted or committed for maintaining and constructing roads.

Other Funds in the Aggregate - Other Funds in the Aggregate consist of all funds included in the financial statements except for the General and Road Funds. The following types of funds are included in this column as follows:

Special Revenue Funds - Special Revenue Funds are used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specified purposes other than debt service or capital projects. The Special Revenue Funds presented on Schedules 1 and 2 are reported with other funds in the aggregate.

Capital Projects Funds - Capital Projects Funds are used to account for and report financial resources that are restricted, committed, or assigned to expenditure for capital outlay, including the acquisition or construction of capital facilities and other capital assets. The Capital Projects Fund presented on Schedules 1 and 2 is reported with other funds in the aggregate.

Custodial Funds - Custodial Funds are used to report resources held by the reporting government in a purely custodial capacity (assets equal liabilities). The Custodial Funds presented on Schedule 1 are reported with other funds in the aggregate.

CLARK COUNTY, ARKANSAS
OTHER GENERAL INFORMATION
DECEMBER 31, 2019
(UNAUDITED)

B. Basis of Accounting - Regulatory

The financial statements are prepared on the regulatory basis of accounting as prescribed or permitted by Ark. Code Ann. § 10-4-412. This regulatory basis differs from accounting principles generally accepted in the United States of America. Revenues generally are recognized as soon as they are both measurable and available except for Treasurer's and Collector's commission and Taxes apportioned – Assessor's salary and expense which are recognized when earned. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days of the end of the current period. However, most state aid received from the State Treasury, as well as county sales taxes, is by state law revenue of the year in which it was received by the government. Expenditures generally are recorded when a liability is incurred. Liabilities incurred by the government on or before the end of the current period that are paid within 60 days of the end of the current period, are considered to be expenditures of the current period. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due. As a result of the use of this regulatory basis of accounting, capital assets and long-term debt are not recorded in these financial statements.

The regulatory basis of accounting is not in accordance with generally accepted accounting principles (GAAP). GAAP require the following major concepts: Accrual basis of accounting for government-wide financial statements, including depreciation expense, modified accrual basis of accounting for fund financial statements, separate identification of special and extraordinary items, inclusion of capital assets and debt in the financial statements, inclusion of the net pension liability in the financial statements, and applicable note disclosures. The regulatory basis of accounting does not require the previously identified concepts.

C. Assets, Liabilities, and Fund Balances

Cash and Cash Equivalents

For the purpose of financial reporting, "cash and cash equivalents" includes all demand and savings accounts, and certificates of deposit.

Settlements Pending

Settlements pending are considered fines, forfeitures, costs, and fees, commissions, and trust funds that have not been transferred to the appropriate entities.

Fund Balance Classifications

1. Restricted fund balance – amounts that are restricted when constraints placed on the use of resources are either (a) externally imposed by creditors (such as through debt covenants), grantors, contributors, or laws or regulations of other governments; or (b) imposed by law through constitutional provisions or enabling legislation.
2. Committed fund balance – amounts that can only be used for specific purposes pursuant to constraints imposed by formal action of the Quorum Court.
3. Assigned fund balance – amounts that are constrained by the Quorum Court's intent to be used for specific purposes, but are neither restricted nor committed.
4. Unassigned fund balance – amounts that have not been assigned to other funds and that have not been restricted, committed, or assigned to specific purposes within the general fund. This classification may also include negative amounts in other governmental funds, if expenditures incurred for specific purposes exceeded the amounts restricted, committed, or assigned to those purposes.

D. Property Taxes

A lien attaches to the real property in January and on personal property in June of each year. Property taxes are collectible beginning the first business day of March of the subsequent year, but are not considered delinquent until after October 15.

CLARK COUNTY, ARKANSAS
OTHER GENERAL INFORMATION
DECEMBER 31, 2019
(UNAUDITED)

E. Budget Law

1. Legal Requirements

State law requires that the Quorum Court, before the end of each fiscal year, make appropriations, by ordinance, for the expenditures of County government for the following year. The Quorum Court may make appropriation amendments at any time during the current fiscal year. Appropriations lapse at the end of each year. Under certain conditions, the budget may be amended subsequent to the year-end.

2. Accounting

The County prepared an annual budget on the regulatory basis for the General Fund, Road Fund, and the other operating funds.

F. Fund Balance Classification Policies and Procedures

The County's highest level of decision-making authority is its Quorum Court. The establishment of amounts classified as committed fund balances and any subsequent modifications to such balances are the result of formal action taken by the Quorum Court through passage of an ordinance. The Quorum Court is authorized to assign amounts to a specific purpose, although a formal policy has not been established.

For classification of fund balance amounts, restricted resources are considered spent before unrestricted. When expenditures are incurred for purposes for which amounts in any of the unrestricted fund balance classifications could be used, committed amounts are reduced first, followed by assigned amounts, and then unassigned amounts.

2. Details of Fund Balance Classifications

Fund balance classifications at December 31, 2019, are composed of the following:

Description	General Fund	Road Fund	Other Funds in the Aggregate
Fund Balances:			
Restricted for:			
General government	\$ 835		\$ 703,209
Law enforcement			641,849
Highways and streets		\$ 3,903,400	
Public safety			1,298,514
Recreation and culture			724,288
Total Restricted	<u>835</u>	<u>3,903,400</u>	<u>3,367,860</u>
Committed for:			
General government	274,825		
Law enforcement			15,432
Capital outlay			279,739
Total Committed	<u>274,825</u>		<u>295,171</u>
Assigned to:			
Law enforcement			38,966
Sanitation	1,022,201		
Recreation and culture			24,345
Total Assigned	<u>1,022,201</u>		<u>63,311</u>
Unassigned	<u>2,174,100</u>		
Totals	<u>\$ 3,471,961</u>	<u>\$ 3,903,400</u>	<u>\$ 3,726,342</u>

CLARK COUNTY, ARKANSAS
OTHER GENERAL INFORMATION
DECEMBER 31, 2019
(UNAUDITED)

3. Commitments

Total commitments consist of the following at December 31, 2019:

	December 31, 2019
Long-term liabilities	\$ 1,176,933
Reappraisal contract	164,800
Total Commitments	<u>\$ 1,341,733</u>

Long-term Liabilities

Long-term liabilities at December 31, 2019, are comprised of the following:

	December 31, 2019
<u>Direct Borrowings</u>	
Lease-purchase agreement dated April 30, 2018, with Bancorp South bank in the amount of \$297,000 on the purchase of (2) 2018 Mack sanitation trucks with interest at 3.19%. Monthly payments of \$5,516 beginning May 21, 2018, for 30 months and a single payment of \$150,000 at the end of the lease. Payments are to be made from the Sanitation account, which is included in the General Fund.	<u>\$ 200,045</u>
Compensated absences consisting of accrued vacation and sick leave adjusted to current salary cost	26,310
Landfill closure and postclosure care costs	<u>950,578</u>
Total Long-term liabilities	<u>\$ 1,176,933</u>

Due to the County's regulatory basis of accounting, these liabilities are not recorded in the financial statements.

The County's outstanding note from direct borrowings of \$200,045 contains a provision that in an event of default, outstanding amounts, at the Lender's sole option, may be declared immediately due and payable, and the Lender may exercise any rights and remedies, including the right to immediate possession of the collateral, available to it under applicable law.

Landfill Closure and Postclosure Care Costs

Clark County is the owner of permit #044-S4 to operate a Class IV solid waste landfill. State and federal regulations require a final cover to be placed on the landfill site when the County stops accepting waste and to perform certain maintenance and monitoring functions at the site for two years after closure. Although closure and postclosure care costs will be paid only near or after the date the landfill stops accepting waste, a portion of these closure and postclosure care costs have been recognized as a commitment each year based on landfill capacity used as of the balance sheet date.

CLARK COUNTY, ARKANSAS
OTHER GENERAL INFORMATION
DECEMBER 31, 2019
(UNAUDITED)

3. Commitments (Continued)

Landfill Closure and Postclosure Care Costs (Continued)

The estimated commitment for the landfill closure and postclosure care costs is \$950,578 as of December 31, 2019, and represents the cumulative amount reported to date of \$703,659 based on 90% usage of the landfill. The County will recognize the remaining estimated cost of closure and postclosure care of \$246,919 as the remaining estimated capacity is filled. The area has an estimated remaining volume of 27,976 cubic yards which is estimated to exhaust two years from the balance sheet date.

Estimated costs are based on the amount that would be paid if all equipment, facilities and services required to close, monitor, and maintain the landfill were acquired as of December 31, 2019. However, the actual costs of closure and postclosure may be higher due to inflation, changes in technology, or changes in landfill laws and regulations.

The County has provided financial assurance for the closure and postclosure care costs with an irrevocable letter of credit from Southern Bancorp Bank of Arkansas, dated April 11, 2018, in the amount of \$423,516 and in accordance with Ark. Code Ann. § 8-6-1603, the County has provided financial assurance of \$218,279 in the form of a Contract of Obligation dated April 19, 2018. This Contract of Obligation authorizes the State Treasurer to withhold from any funds being distributed from the State of Arkansas to Clark County the sum of \$218,279 upon receiving notice from the Director of the Arkansas Department of Environmental Quality of Clark County's failure to properly close the disposal operation

Long-Term Debt Issued and Outstanding

<u>Date of Issue</u>	<u>Date of Final Maturity</u>	<u>Rate of Interest</u>	<u>Amount Authorized and Issued</u>	<u>Debt Outstanding December 31, 2019</u>	<u>Maturities to December 31, 2019</u>
<u>Direct Borrowings</u>					
4/30/18	10/21/20	3.19%	<u>\$ 297,000</u>	<u>\$ 200,045</u>	<u>\$ 96,955</u>

Changes in Long-Term Debt

	<u>Balance January 01, 2019</u>	<u>Retired</u>	<u>Balance December 31, 2019</u>
<u>Direct Borrowings</u>			
Notes payable	<u>\$ 258,835</u>	<u>\$ 58,790</u>	<u>\$ 200,045</u>

Debt Service Requirements to Maturity

The County is obligated for the following amounts at December 31, 2019:

<u>Years Ending December 31,</u>	<u>Direct Borrowings</u>		
	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2020	<u>\$ 200,045</u>	<u>\$ 5,115</u>	<u>\$ 205,160</u>

CLARK COUNTY, ARKANSAS
OTHER GENERAL INFORMATION
DECEMBER 31, 2019
(UNAUDITED)

3. Commitments (Continued)

County-Wide Reappraisal Contract

The County entered into a contract with Total Assessment Solutions Corporation on September 25, 2015, for a county-wide reappraisal. The County is obligated for 60 monthly payments of \$13,733 for a total of \$824,000 beginning January 15, 2016. Contract expense for 2019 was \$164,800.

The County is obligated for the following amounts at December 31, 2019:

<u>Year</u>	<u>December 31, 2019</u>
2020	<u>\$ 164,800</u>

4. Interfund Transfers

The General Fund transferred \$178,922 to Other Funds in the Aggregate (Iron Mountain Trail System, Clark County Marina, Drug Enforcement, and Jail Maintenance) for operating purposes. The Other Funds in the Aggregate (Sheriff's Communication Facility and Equipment Fund) transferred excess funds of \$20,000 to General Fund for jail operating purposes.

5. Change in Accounting Policy

Ark. Code Ann. § 14-71-101 went into effect for the year ended December 31, 2019, and requires sales taxes be recognized in the year received by the County. For 2019, the County will only recognize 11 months of sales taxes instead of 12 months.

6. Subsequent Events

On March 11, 2020, the Governor of Arkansas issued Executive Order 20-03 declaring an emergency and ordered the Arkansas Department of Health to take action to prevent the spread of coronavirus disease 2019 (COVID-19). The extent of the impact of COVID-19 on the financial statements for future reporting periods will depend on certain developments, including the duration and speed of the outbreak, revenue collections, and any other possible issues – all of which are uncertain and cannot be predicted. The financial impact of COVID-19 to the County is uncertain.

7. Related Party Transactions

The County paid Clark County District Court Judge Randy Hill \$10,200 to rent office space for the Public Defender in 2018. On October 15, 2013, the County established Clark County Ordinance no. 2013-10 authorizing a lease agreement between the Public Defender and Clark County District Court Judge Randy Hill.

The County paid Bonner Plumbing Contractors \$17,979 for plumbing repairs in the Clark County Jail in 2019. Sheriff's part-time deputy, Pete Bonner, owns Bonner Plumbing Contractors. On March 12, 2018, the County established Clark County Ordinance no. 2018-04 authorizing payment of services to Bonner Plumbing Contractors.

CLARK COUNTY, ARKANSAS
OTHER GENERAL INFORMATION
DECEMBER 31, 2019
(UNAUDITED)

8. Jointly Governed Organizations

A. Reuse Committee

The City of Arkadelphia and Clark County were co-recipients of a \$750,000 grant under the 1983 Arkansas State Stimulus Program. The funds were used as a loan to an industry – Exchange Parts of Arkansas. Exchange Parts of America, Inc., a/k/a Exchange Parts of Arkansas Inc., filed for Chapter Eleven Bankruptcy in 1991 listing as an outstanding debt, a balance of \$478,383 of the original \$750,000 Job Stimulus Loan. The remaining balance of the original \$750,000 grant continues to be used to stimulate economic development within Clark County.

A joint committee was formed to oversee the activities associated with the use of these funds. The committee is composed of two members from the Clark County Quorum Court appointed by the County Judge and two members from the City of Arkadelphia Board of Directors appointed by the Mayor. The funds are held by the Arkadelphia City Treasurer and are disbursed upon the direction of the committee.

The principal and interest payments received by the Reuse Committee are used as outlined in Article V of the Reuse of Proceeds Plan to pay for administrative costs, as matching funds to secure other funds for economic development, to construct for resale or lease industrial facilities and to provide loans to help finance industrial or commercial undertakings.

Annual written reports are to be submitted to the City of Arkadelphia Board of Directors, Clark County Quorum Court and Arkansas Industrial Development Commission. The Planning and Economic Development Division is covering the Committee's activities with regards to these funds.

The financial statements of the Reuse Committee have not been audited but may be obtained at 700 Clay, Arkadelphia, AR 71923.

The Reuse Committee was abolished on September 9, 2019.

B. Group "6" Narcotics Enforcement Unit

The Prosecuting Attorneys of the Seventh and Ninth (East) Judicial Districts, the Sheriffs' Departments of Clark, Grant, and Hot Spring Counties, and the Police Departments of Malvern, Sheridan, and Arkadelphia entered into an agreement to establish the Group "6" Narcotics Enforcement Unit. The agreement covers the period July 2, 2019 to June 30, 2020, and may be extended upon written mutual agreement. Funding was provided through federal and state grants in addition to contributions from the participating entities. The County made no contributions to or on behalf of the Group "6" Narcotics Enforcement Unit in 2019. Separate financial statements for the Group "6" Narcotics Enforcement Unit are not available.

C. Southwest Arkansas Regional Intermodal Authority

Clark, Montgomery, Pike, and Dallas Counties and the Cities of Gurdon, Prescott, Glenwood, Caddo Valley, Murfreesboro, Arkadelphia, and Amity entered into an agreement on May 18, 2010, to establish the Southwest Arkansas Regional Intermodal Authority pursuant to Ark. Code Ann. §§ 14-143-101 – 14-143-129. The Authority shall be governed by a board of directors consisting of eighteen members appointed by the participants' Mayors and County Judges. Each participating City will receive one member and each County will receive two members. Annual dues are \$2,000 per county and \$1,000 per city based on \$1,000 for each board member. Dues are payable in January of each year. No payments were made by the County to the Southwest Regional Intermodal Authority other than the annual membership dues of \$2,000. Separate financial statements for the Southwest Arkansas Regional Intermodal Authority are not available.

CLARK COUNTY, ARKANSAS
OTHER GENERAL INFORMATION
DECEMBER 31, 2019
(UNAUDITED)

8. Jointly Governed Organizations (Continued)

D. Southwest Central Regional Solid Waste Management District

Pursuant to Act 752 of the Acts of Arkansas of 1991, the Southwest Central Regional Solid Waste Management District and Board were organized to protect public health and environmental quality for its service area by establishing a regional solid waste management system in the Arkansas Counties of Clark, Garland, and Hot Spring. The District's board of directors is composed in accordance with the requirements of the Act and is comprised of representatives of the counties in the District and representatives of all first class cities, of all cities with a population over 2,000 and of the largest city of each county in the District. The County made no contributions to or disbursements on behalf of the District in 2019. The District paid Clark County \$11,880 for landfill services in 2019. All financial transactions are between the District and the Hot Spring County Solid Waste Authority, Inc. Separate financial statements of the Southwest Central Regional Solid Waste Management District are available at 1000 Central Avenue, Hot Springs, AR, 71903.

9. Arkansas Public Employees Retirement System

Plan Description

The County contributes to the Arkansas Public Employees Retirement System (APERS), a cost-sharing multiple-employer defined benefit pension plan. APERS, administered by a Board of Trustees, provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State law and can be amended only by the Arkansas General Assembly. The Arkansas Public Employees Retirement System issues a publicly available financial report that includes financial statements and required supplementary information for APERS. That report may be obtained by writing to Arkansas Public Employees Retirement System, 124 W. Capitol, Suite 400, Little Rock, Arkansas 72201, by calling 1-800-682-7377, or on their website www.apers.org.

Funding Policy

APERS has contributory and non-contributory plans. Contributory members are required by State law to contribute 5% of their salary. Each participating employer is required by State law to contribute at a rate established by the Board of Trustees of the system based on the annual actuarial valuation. The County's contributions to the plan for the year ended June 30, 2019 were \$547,820.

Net Pension Liability

The requirements of Governmental Accounting Standards Board Statement no. 68, under the regulatory basis of accounting, are limited to disclosure of the County's share of the collective net pension liability. The County's proportionate share of the collective net pension liability at June 30, 2019 was \$4,508,068.

CLARK COUNTY, ARKANSAS
OTHER GENERAL INFORMATION
DECEMBER 31, 2019
(UNAUDITED)

10. Capital Assets

The County's capital assets records are summarized below

	December 31, 2019
Land	\$ 638,274
Buildings	6,671,146
Infrastructure	169,741
Improvements	224,472
Equipment	<u>9,714,253</u>
Total	<u>\$ 17,417,886</u>

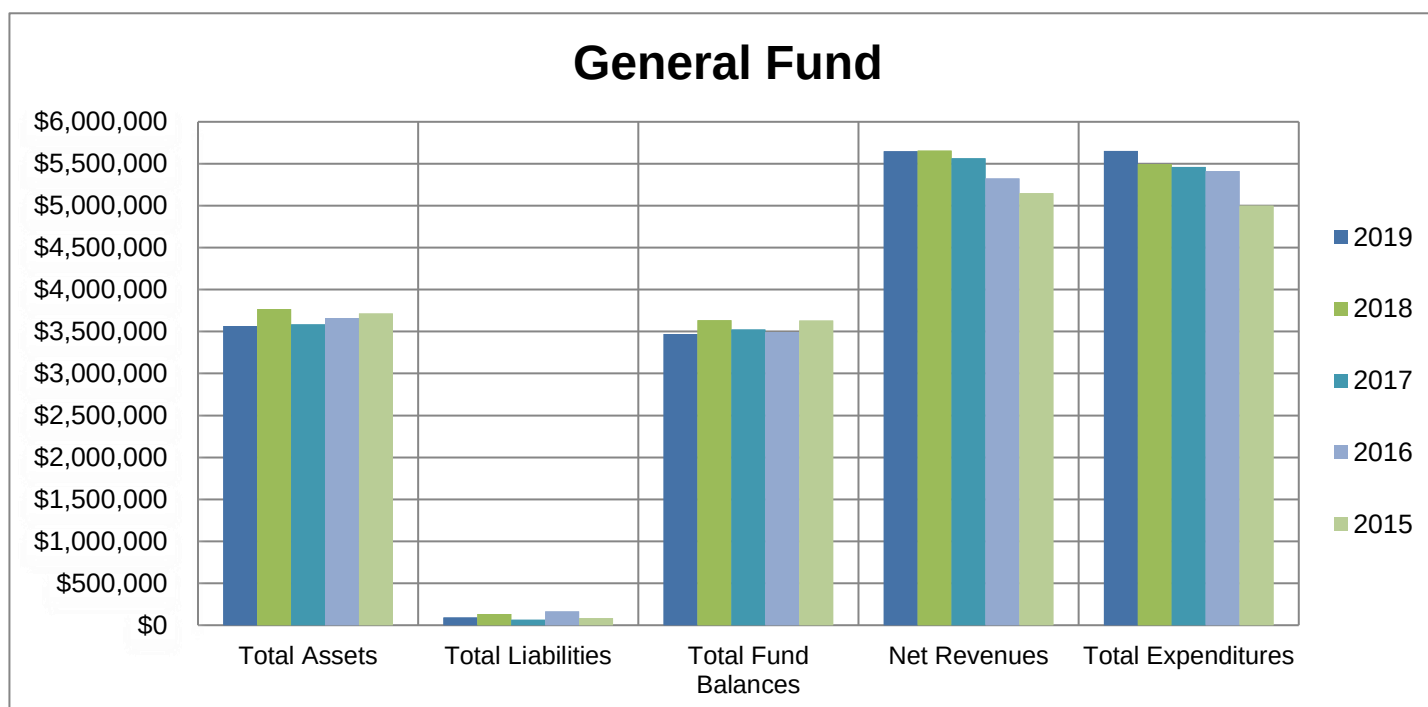
11. Economic Development Corporation of Clark County, Arkansas

The Economic Development Corporation of Clark County, Arkansas (EDCCC) was established as authorized by Ark. Code Ann. §§ 14-175-101 – 14-175-116. The EDCCC was incorporated as a nonprofit organization on September 11, 2007, for the purpose of securing and developing industry and fostering economic development. On June 12, 2007, a one-half cent sales and use tax was approved for a period of seven years to be used solely for economic development, and subsequently, on March 11, 2014, for an additional seven year period. Accordingly, Clark County remits to the EDCCC the revenues derived from this tax which totaled \$1,572,733 in 2019. Separate financial statements of the EDCCC are available at the Clark County Judge's Office, 401 Clay Street Arkadelphia, AR 71923.

CLARK COUNTY, ARKANSAS
SCHEDULE OF SELECTED INFORMATION FOR THE LAST FIVE YEARS - GENERAL FUND - REGULATORY BASIS
DECEMBER 31, 2019
(UNAUDITED)

Schedule 3-1

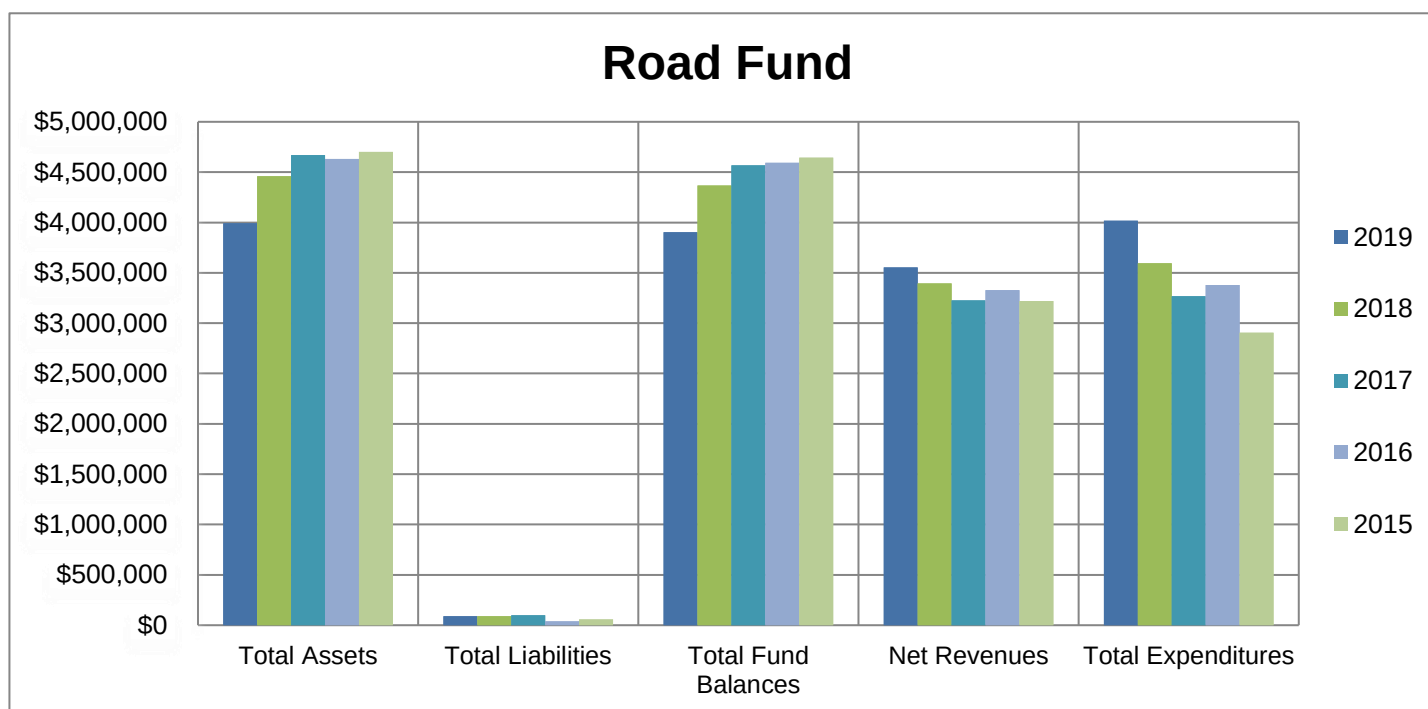
<u>General</u>	2019	2018	2017	2016	2015
Total Assets	\$ 3,564,482	\$ 3,769,599	\$ 3,586,334	\$ 3,660,254	\$ 3,716,347
Total Liabilities	92,521	135,245	63,163	165,916	83,521
Total Fund Balances	3,471,961	3,634,354	3,523,171	3,494,338	3,632,826
Net Revenues	5,649,613	5,656,984	5,566,107	5,325,003	5,150,737
Total Expenditures	5,653,084	5,495,236	5,462,246	5,412,491	5,000,567
Total Other Financing Sources/Uses	(158,922)	(50,565)	(75,028)	(51,000)	(36,738)



CLARK COUNTY, ARKANSAS
SCHEDULE OF SELECTED INFORMATION FOR THE LAST FIVE YEARS - ROAD FUND - REGULATORY BASIS
DECEMBER 31, 2019
(UNAUDITED)

Schedule 3-2

<u>Road</u>	2019	2018	2017	2016	2015
Total Assets	\$ 3,992,038	\$ 4,458,039	\$ 4,668,454	\$ 4,630,953	\$ 4,701,372
Total Liabilities	88,638	89,921	99,870	36,825	57,947
Total Fund Balances	3,903,400	4,368,118	4,568,584	4,594,128	4,643,425
Net Revenues	3,552,081	3,393,565	3,224,933	3,328,224	3,218,336
Total Expenditures	4,016,799	3,594,031	3,268,126	3,377,521	2,905,220
Total Other Financing Sources/Uses			17,649		



CLARK COUNTY, ARKANSAS
SCHEDULE OF SELECTED INFORMATION FOR THE LAST FIVE YEARS - OTHER FUNDS IN THE AGGREGATE - REGULATORY BASIS
DECEMBER 31, 2019
(UNAUDITED)

Schedule 3-3

<u>Other Funds in the Aggregate</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
Total Assets	\$ 5,074,663	\$ 4,853,202	\$ 4,435,461	\$ 4,274,996	\$ 4,162,072
Total Liabilities	1,348,321	1,299,858	1,237,049	1,208,001	1,263,141
Total Fund Balances	3,726,342	3,553,345	3,198,412	3,066,995	2,898,931
Net Revenues	3,054,152	3,306,341	3,016,074	2,954,923	3,081,471
Total Expenditures	1,329,768	1,343,182	1,365,788	1,236,544	1,638,425
Total Other Financing Sources/Uses	(1,551,387)	(1,608,226)	(1,518,869)	(1,540,879)	(1,406,205)

